

AN IMPACT FEATURE

cement industry. It's amongst the largest grey cement manufacturers in the north India and the largest manufacturer of grey cement in Rajasthan.

JK Cement is also second largest white cement manufacturer in India with a marketing and distribution network of more than 4,563 retailers. The high brand recall speaks about the high product quality. The location is one of JK Cement's greatest assets, given its close proximity to some of the largest and richest limestone deposits in the nation. The company is publicly held with equity shares listed on the Bombay Stock Exchange and the National Stock Exchange.

Company acquired assets of M/s. Nihon Nirman Ltd. from IDBI at Rs. 420 million. The company is planning to produce an expected 0.4 million tonnes of grey cement from the facility. The initial studies and reports conducted by the technical team on the overall conditions of the plant and equipment, indicate that the facility is in an operational state. Operations can start by Sept – Oct 2007. Grey cement would be sold in the same region where company is already selling cement and thus, there is no need to develop the market further. As and when white cement demand increases, company can switchover to the production of white cement within a span of three months with no major capital expenditure

Greenfield Expansion

JK Cement is setting up 3.5 million tons grey cement capacity in southern region to diversify its presence. In Phase-I, integrated plant of 2.5 million tons and in Phase-II, split grinding unit of 1.0 million tons would be set up. The project cost is valued at an estimated Rs. 11,500 million (US\$ 259.8 million). The project cost of Phase-I is Rs. 9,500 million (US\$ 214.6 million) with 100% captive power backup. The expected commissioning of integrated plant is by Oct. – Dec.'08 and grinding unit within six to nine months of the integrated plant.

Power Plants

JK Cement procures power from the state grid at a price of Rs. 4.25 per kwh. With the objective of setting up cost

effective power plants, currently, a 20 MW pet coke based plant along with a 13 MW waste heat recovery plant is in the works. The pet coke plant will use pet coke as fuel with the rate of power generated at Rs. 1.87 per kwh. The waste heat recovery plant would use waste gases emanated in the production process. Not only is this cost effective at Rs. 0.43 per kwh, but it doesn't involve any fuel consumption either. A 10MW turbine, also in the works, would generate power at the rate of Rs. 3.00 per kwh.

An increase in grinding capacity of grey cement by 0.50 million tonnes and production of blended cement would result in increased usage of facilities.

As of now, a captive power plant in Gotan, which is likely to be commissioned by June 2008 would result in increased savings. This is from the difference in prices from the state grid.

JK Cements Hallmarks

- Over 30 years experience in the Indian cement industry.
- Second largest white cement manufacturer in India.
- Amongst the largest grey cement manufacturers in North India.
- Largest manufacturer of grey cement in Rajasthan.
- Recently acquired Nihon Nirman Ltd. from IDBI at Rs. 420 million.
- Diversification in the southern region with 3.5 million tons grey cement integrated plant with project cost estimated at Rs. 11,500 million (US\$ 259.8 million).

